WE ARE AGGRESSIVELY WORKING TOWARDS DIVERSIFICATION OF OUR PRODUCT PORTFOLIO

What has been the effect of Covid-19 on the operations, growth and profitability of IGL?

Due to the pandemic induced lockdown, the mobility in the entire country was restricted resulting in negative impact on the CNG sales. Similar trend was noticed in the Commercial and Industrial segment as well. However, since people were confined in their homes, the sale of domestic PNG showed an uptrend during the period. In spite of various constraints arising out of the situation, IGL was able to ensure uninterrupted supply of gas to all segments of its customers without any incident.

IGL was able to quickly adapt to new ways in its operations in line with the change in customer behavior across all segments. In the pre-pandemic era, customers were used to physical contacts in the form of walk-in-centers, payments through dropbox etc., while during the pandemic, there was a major shift towards online platforms for customer service as well as payment options.

Even though pandemic posed tough situations, IGL proved itself as the leader in the City Gas Distribution sector by achieving profit of Rs.1,005.65 cr. in FY 2020-21. As the situation is improving gradually, IGL was able to achieve a record profit of Rs.400.49 cr. in the second quarter of current fiscal, which has been the highest ever profit in any quarter in the entire history of IGL.

What kind of changes have you witnessed in consumer behaviour in the aftermath of the pandemic and how have you incorporated them in IGL's style of functioning?

During the pandemic period, the customers preferred contactless services due to health related concerns. IGL leveraged technology and was able to motivate many of its customers to shift to self- billing during this period. We have also observed an increase in number of customer queries through our social media platforms. As a result of this, IGL has been focusing on integrating social media platforms within its overall CRM programme. The use of IGL Connect Mobile Application is also being promoted to provide solutions through finger tips of the customers.

Has the pandemic affected your pipe-laying or expansion plans to a major extent?

Though a major part of the year 2020-21 had been marred by total as well as partial lockdowns, IGL was able to connect a record number of 3.1 lakh households with domestic PNG connections along with setting up 65 new CNG stations overcoming various challenges like restricted availability of human as well as material resources.

In the ongoing financial year 2021-22, which has witnessed a harsher second wave, IGL has already recorded more than 1.7 Lakhs domestic PNG connections and has set up 32 new CNG stations till date. The company well on its way to reach even higher milestones. During the Pandemic, IGL also introduced several firsts like-HCNG and Type-IV long range buses.

Do you face any competition to the demand situation for PNG and CNG from the popularity of liquefied natural gas (LNG)?

LNG is still in its nascent stage of development. In addition, the investment to develop LNG conducive infrastructure is enormous. Thus, LNG is not likely to be a threat in the immediate future and setting up LNG specific market will take some time to develop. Moreover, IGL is also working progressively in LNG and this will prove to complement our existing product line and will be beneficial to boost IGL's reputation as a leader in clean energy segment.

What are your overall growth and investment plans for FY22 including giving new domestic connections, setting up charging stations for CNG and facilitation of long-haul busses into CNG?

IGL hopes to close the FY 22 with total Capex expenditure of around Rs.1800 crores with domestic connections of around 4 lakhs and setting up over 100 new CNG stations. All the geographical areas allotted to IGL have started generating revenue and are contributing to topline and bottom line growth.

IGL is already operating 5 long haul buses fitted with Type IV cylinders with Uttarakhand Transport Corporation (UTC), which can run over 1000 kms in a single fill. Talks are on with UTC as well as other transport operators for converting more diesel buses to CNG.

What are your plans with regard to the battery swapping facility in the context of growing trends towards electric vehicles (EVs)?

IGL is aggressively working towards diversification of its product portfolio. Various initiatives have been taken to improve the mobility in all geographical areas of operation.

IGL is currently planning to open 50 battery swapping stations along with 5 fixed EV-charging stations in the ongoing financial year.



INCONVERSATION WITH

A.K. JANA
Managing Director, Indraprastha Gas Limited (IGL)